



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

David and Margaret Wood

Of

21 Coolgardie Avenue

MALVERN EAST VIC 3145

Prepared on:

9th June 2015

By your Adviser:

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

09/06/2015

Mr David & Mrs Margaret Wood
21 Coolgardie Avenue
Malvern East VIC 3145

Dear David & Margaret,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation structure
- Transition to Retirement
- Investment Property Structure

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

David and Margaret, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your overall superannuation position and ensure that it is structured in the most effective manner.
- Take advantage of David's ability to utilise the Transition to Retirement strategy when he returns to work
- Ensure investment assets are owned in the most tax effective structure.
- Look at scenarios around purchasing property for your children
- Achieve sufficient cash flow to meet your living requirements.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	David	Margaret
Surname	Wood	Wood
Gender	M	F
Date of Birth	15/03/1960	24/05/1954
Age Last Birthday	55	61
Marital Status	Married	Married

Estate Planning

	David	Margaret
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	Yes	Yes

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$2,000,000
Motor Vehicles	\$40,000
Total Lifestyle Assets	\$2,040,000

Investment Assets	
IOOF Investment	\$111,128
Wood Family Trust	
➤ Shares in Public Companies	\$233,263
➤ Macquarie Portfolio	\$58,082
➤ Skye Joint Venture Unit Trust	\$145,114
Cash	\$5,000
Total Investment Assets	\$552,587

Superannuation Assets	
Colonial First State Wholesale Super (David)	\$382,361
Colonial First State Wholesale Super (Margaret)	\$21,789
Colonial First State Wholesale Pension #0510 2366 4065 (Margaret)	\$174,166
Colonial First State Wholesale Pension #0510 1991 6107 (Margaret)	\$667,714
Total Superannuation Assets	\$1,246,030

Total ASSETS	\$3,838,617
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LIABILITIES

Line of credit (Used for IOOF Investment)	\$97,865
Bank Loan to trust (ANZ Equity Manager)	\$71,592
Total Liabilities	\$169,457

NET WORTH	\$3,669,160
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Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, as well as the current asset allocation within your respective superannuation funds, it was determined that you can both be classified as Growth investors in respect to superannuation investments.

In respect to non-superannuation investments, you have preferred a more conservative approach. Based on discussions held previously you can be determined as between a Moderately Conservative and Balanced investors in regards to non-superannuation investments.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investment time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Growth investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Property	17%
Fixed Interest	13%
Cash	2%

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is “truly” balanced.
- Investors are typically comfortable with a variability of their capital over a 5 year horizon while their portfolio builds a growing income stream and capital growth.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2014-15

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

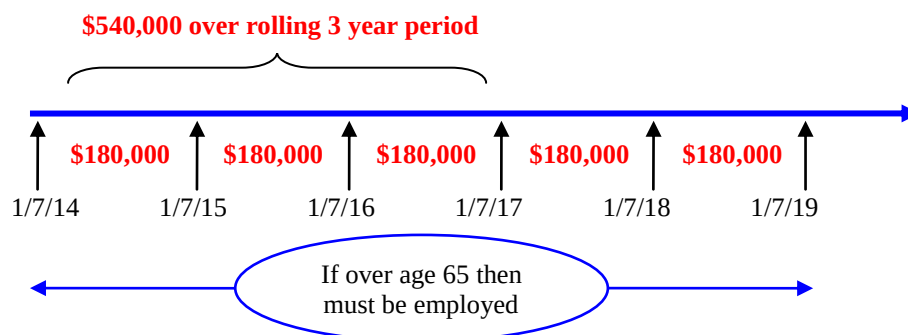
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed*	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed*	Cannot contribute



IOOF Investment

David and Margaret, you have an IOOF investment in David's name, which you have held long term. You initially purchased this investment with \$100,000 of borrowed funds. The current portfolio value is as follows:

IOOF Investment					
	% of portfolio	1 year	3 years	5 years	Balance
BlackRock Indexed Australian Equity Fund	11.08%	13.72%	15.13%	8.15%	\$12,311.00
Cash Account	1.98%	2.35%	2.74%	3.38%	\$2,200.00
EQT SGH LaSalle Global Listed Property Securities	4.73%	28.90%	17.16%	15.89%	\$5,254.00
Investors Mutual Industrial Share Fund	16.20%	22.38%	21.74%	14.60%	\$18,007.00
IOOF Blended Australian Smaller Companies	9.74%	2.66%	3.35%	5.01%	\$10,827.00
PIMCO Diversified Fixed Interest Fund	17.90%	11.46%	8.02%	8.79%	\$19,888.00
PIMCO Global Credit Fund	17.79%	9.85%	7.76%	8.74%	\$19,768.00
Platinum International Fund	16.35%	21.82%	21.37%	10.45%	\$18,164.00
UBS Diversified Credit Fund	4.23%	3.85%	6.34%	7.15%	\$4,709.00
	100.00%	10.99%	9.88%	6.52%	\$111,128.00

*Performance as at 31st March 2015

The current asset allocation within the portfolio is as follows:

Asset Class	% of Portfolio
Australian Shares	35.40%
International Shares	16.35%
International Property	4.61%
Australian Property	0%
Fixed Interest	39.54%
Cash	4.10%
	100%

Recommendation:

- Margaret, you stated that you are not overly happy with the current performance within this portfolio.
- We recommend that you alter the asset allocation within this investment fund with the view of removing underperforming funds and to bring the overall asset allocation more in line with your Balanced to Moderately Conservative Investor Risk Profile.
- We have recommended that you switch entirely out of the "IOOF Blended Australian Smaller Companies" fund, as it has not performed well over all ranges.
- We have suggested that you switch entirely out of the "UBS Diversified Credit Fund" as it has performed poorly over the more recent periods.
- We have suggested that you invest a small percentage in Australian property within the "A-REIT fund" to diversify your property exposure. The returns for this fund have been included in the table below.

- We suggest a portfolio as such:

IOOF Investment					
	% of portfolio	1 year	3 years	5 years	Balance
BlackRock Indexed Australian Equity Fund	16.82%	13.72%	15.13%	8.15%	\$18,691.73
Cash Account	1.98%	2.35%	2.74%	3.38%	\$2,200.33
EQT SGH LaSalle Global Listed Property Securities	4.73%	28.90%	17.16%	15.89%	\$5,256.35
APN A-REIT Fund	4.00%	30.62%	21.65%	15.25%	\$4,445.12
Investors Mutual Industrial Share Fund	16.20%	22.38%	21.74%	14.60%	\$18,002.74
PIMCO Diversified Fixed Interest Fund	19.96%	11.46%	8.02%	8.79%	\$22,181.15
PIMCO Global Credit Fund	19.96%	9.85%	7.76%	8.74%	\$22,181.15
Platinum International Fund	16.35%	21.82%	21.37%	10.45%	\$18,169.43
	100.00%	10.99%	9.88%	6.52%	\$111,128.00

The proposed overall asset allocation within the portfolio would be as follows:

Asset Class	% of Portfolio
Australian Shares	31.40%
International Shares	16.35%
International Property	4.61%
Australian Property	4.00%
Fixed Interest	39.92%
Cash	3.72%
	100%

Structure of Margaret's Superannuation

Margaret, you currently have the following superannuation funds active:

➤ #0510 1991 6107 Colonial First State (CFS) Wholesale Pension -	\$667,714
➤ #0510 2366 4065 CFS Wholesale Pension -	\$174,166
➤ #0100 1988 7288 CFS Personal Super -	<u>\$21,789</u>
	\$863,669

You have two pension funds in place; this was originally set up as a result of analysis between Lakeside and your Accountant Mark Anderson. The benefit was to ensure you retain the large "tax free" portion that was held within your original pension fund. If both funds were consolidated, the income stream drawn down would have adversely affected your taxable income.

As you are now 60 years old, all income and earnings drawn down from your respective pension funds become "tax free". Hence, we can now look to consolidate your two pension funds.

Recommendation:

- Margaret, consolidate your two CFS pension funds, along with all but the minimum of your CFS Personal super fund, into a new CFS pension fund account.
- Invest your capital so that it is invested in-line with your "Growth" investor risk profile.
- Draw down the minimum income stream of 4% p.a. This is estimated to be approximately \$34,487 p.a. (\$2,874 p.m.).
- Structure the new pension as a reversionary pension, nominating David as the beneficiary.
- Keep your CFS Personal super fund open, so it can receive contributions if required.

Benefits:

- You will only be incurring Fund Management fees on one pension fund account.
- Your capital is invested inside the superannuation environment consistent with your investor risk profile.
- You have re-structured your superannuation assets and increased the tax effectiveness of your retirement benefits upon commencement of an income stream

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Structure of David's Superannuation

David, you currently have the following superannuation fund:

- Colonial First State (CFS) Wholesale Super - \$382,361

You have been involved in contract work since you left Flowserve in 2014. David, you plan to continue working in a full time capacity, with a view to maintaining your employment salary of \$150,000 per annum. All workings have been based on this scenario within this Statement of Advice.

Transition to Retirement

The aim of a 'Transition to Retirement' strategy is to utilise current legislation to increase superannuation contributions whilst remaining cash flow neutral.

Current legislation allows you to commence a non-commutable income stream with your superannuation monies without having to satisfy a condition of release. From age 60, all income received from this income stream are tax free. Once you have commenced an income stream all income on the amount funding the income stream is tax free as opposed to being taxed at 15% when in accumulation phase.

The minimum pension amount that you can draw is 4% of your account balance per annum whilst the maximum pension is 10% and is re-calculated in July each year.

The additional income received from your pre-retirement income stream allows you to make additional contributions to superannuation in the form of salary sacrifice. Salary sacrifice contributions are pre-tax contributions and therefore result in a reduction of assessable income. These superannuation contributions are concessionally taxed at a maximum of 15% as opposed to marginal tax rates of up to 49%.

The 'Transition to Retirement' strategy results in an increased net inflow to superannuation and therefore a maximisation of your retirement savings in a tax effective manner.

Pre-Retirement Income Stream

Recommendations:

- David, as you are now 55, once you resume full-time employment, commence a non-commutable pre-retirement allocated pension with **\$380,861** made up of your benefits including all but the minimum balance of your CFS super fund, rolled over to the recommended pension platform. (See Colonial Wholesale Pension investment recommendation section.)
- David, commence a pension income stream of **\$16,011** per annum (\$1,334 per month approx.).
- This pension income is to be used to supplement your income that you will salary sacrifice to superannuation.

Benefits:

- By commencing a pre-retirement income stream you are increasing your income in a tax effective manner and therefore allowing you to commence a salary sacrifice arrangement.
- There is an immediate income tax benefit on withdrawal and re-contribution via salary sacrifice, as a result of this strategy.
- David, as a result of implementing this strategy your total superannuation benefit after the first year will be around **\$1,627** higher than if you did nothing other than continued on as you are. This annual benefit would increase once you reach age 60.
- Once you commence an income stream, the earnings on your pension account balance become tax free. We estimate that this will contribute to a total tax saving of approximately **\$5,655** per annum.
- **David, please see the table below that depicts the effect a Transition to Retirement Strategy will have in the first full year of such a strategy being undertaken.**

David Wood (sacrifice \$20,750)	No Transition to Retirement Pension (Current)	Transition to Retirement Pension and making salary sacrifice contributions
INCOME EFFECT		
Salary (after salary sacrifice)	\$150,000	\$129,250
Pension	\$0	\$16,011
Gross Income	\$150,000	\$145,261
Total Tax	-\$46,447	-\$41,695
Net Income	\$103,553	\$103,566
SUPERANNUATION EFFECT		
Gross Contribution	\$14,250	\$35,000
Tax on Contribution (15%)	-\$2,138	-\$5,250
Net Contribution	\$12,112	\$29,750
Pension Paid	N/A	-\$16,011
Personal Contribution	\$0	\$0
Overall impact on superannuation account	+\$12,112	+ \$13,739
TAX EFFECT		
Income Tax	-\$46,447	-\$41,695
Contribution Tax (15%)	-\$2,138	-\$5,250
Super Fund Tax* (7% earnings @15%)	-\$4,015	\$0
Total Tax	-\$52,600	-\$46,945

*Based on CFS balance of \$382,361 @ 10/05/2015

Risks:

- Your income stream capital is subject to market performance fluctuations which may have a flow on effect to your income received.
- **A condition of the transition to retirement income stream is that it is non-commutable – no lump sum withdrawals can be made until you satisfy a condition of release.**

Salary Sacrifice to Superannuation

Recommendation:

- David, you stated that you have been contributing to the maximum concessional cap, though an analysis of your CFS super fund shows that in the 2014 financial year, your total concessional contributions were \$9,180. Based on your proposed income when you return to full-time employment (\$150,000), your employer contributions per annum would be \$14,250.
- Commence a salary sacrifice arrangement of **\$20,750 per annum (\$1,730 per month approx)** to your existing Colonial super fund.
- Arrange this with your employer once the recommended wholesale pension fund has been set up.
- Make personal contributions to superannuation from 1st July 2017 in line with the projections contained in the rear of this Statement of Advice. Your net income is calculated to remain at \$103,566 over the projected period.

Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- David, your salary sacrifice contributions will be taxed at a maximum of 15% compared to 39% (including medicare levy) if taken as income.
- **We estimate the total net tax saving, including contributions tax, for a full financial year will be approximately \$5,655.**
- **You have increased your NET superannuation contributions to \$29,750 p.a. to build a capital base to meet your retirement income goals.**

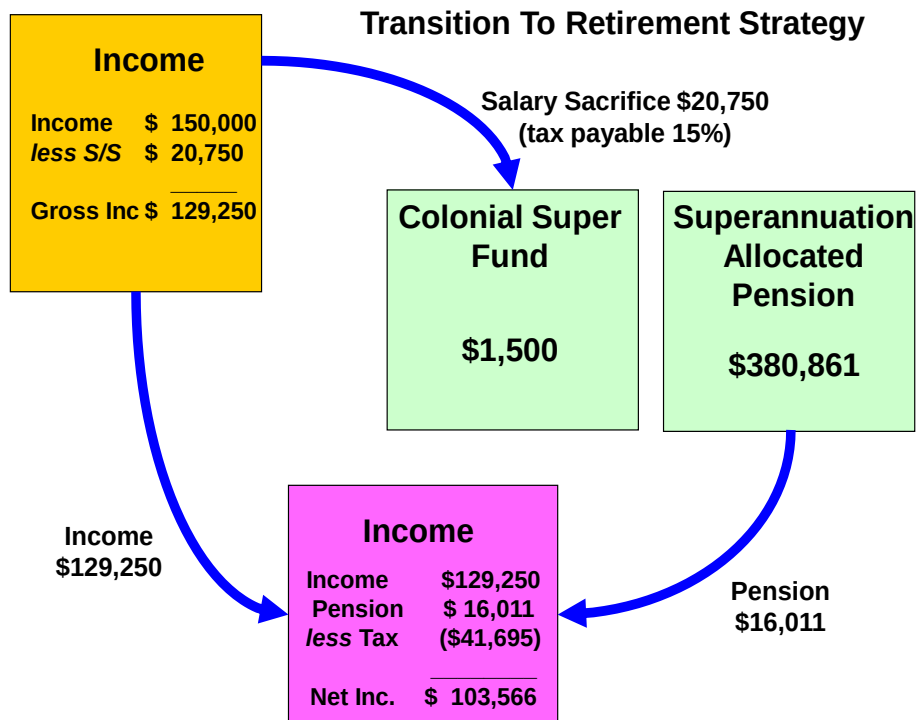
Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:

It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Full Financial Year - David



Tax Treatment – Pre and Post Recommendations

The below tables outline the estimated taxation treatment prior to undertaking a Transition to Retirement Strategy, and post undertaking the strategy. The figures are based on a nominated gross salaried income of \$150,000, which is David's suggested income when he returns to full time work.

Current Estimated Tax Liability

Income Source	Amount Received	Deductions	Taxable Income	Tax
Gross Income	\$150,000			
Deductions				
TAXABLE INCOME			\$150,000	
Tax Payable before Rebates/Credits				\$43,447
LESS Rebates & Credits				
Low Income Tax Offset				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$43,447
Medicare Levy				\$3,000
NET TAX				\$46,447

Proposed Estimated Tax Liability

Income Source	Amount Received	Deductions	Taxable Income	Tax
Gross Income	\$150,000			
Plus Pension Income Stream (Taxable)	\$13,972			
Plus Pension Income Stream (Tax Free)	\$2,039			
Deductions				
Less Salary Sacrifice		(\$20,750)		
TAXABLE INCOME			\$143,222	
Tax Payable before Rebates/Credits				\$40,926
LESS Rebates & Credits				
Low Income Tax Offset				(\$0)
Income Stream Rebate				(\$2,096)
Total Rebates & Credits				(\$2,096)
TAX PAYABLE after REBATES & CREDITS				\$38,830
Medicare Levy				\$2,864
NET TAX				\$41,695

David's Superannuation Projections – Post Recommendations

David, post the implementation of the recommendations contained within this Statement of Advice, your outcomes are projected to be as follows:

- An approximate total superannuation portfolio balance over the period to retirement at age 65 of approximately **\$1,061,666** as compared to approximately **\$923,526** if you did nothing.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Please find the tabled projections of the Transition to Retirement strategy year on year until retirement in the appendix, which displays the data leading to the above figures.

Combined Superannuation Capital Projections

David and Margaret, we have taken the liberty of providing indicative retirement projections based on your combined superannuation capital, post recommendations.

The calculated projected position is based on the following assumptions:

- Superannuation Earnings of 7.0% p.a.
- Net superannuation contributions of \$29,750 p.a. (proposed contribution level for David)
- David, from age 57, surplus funds that are received via the pension income stream can be contributed back into superannuation as “non- concessional” contributions, so as to maximise your superannuation balance leading into retirement.
- Margaret makes no contributions to superannuation
- The amount drawn out as pension income stream is:
 - Optimised as per the projections for David
 - The minimum amount per annum for Margaret
- Combined retirement balances are shown for age 65 and 70 (David)

A summary of these projections are detailed in the following table:

Age (David)	Retirement Capital (superannuation)
65	\$2,131,085
70	\$2,684,267

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Property

David, your children have received inheritances of \$330,000 recently. You would like to assist Matthew and Kitty to purchase property in some capacity and seek advice in terms of the most effective way in which to do this. David, you requested that we look at two scenarios:

- Where both yourself and Margaret purchase two properties and rent these individually to your children.
- Where you lend an amount of money to your children to assist them in purchasing a property.

As the second scenario is much more subjective, if this is the path you wished to take, we would be happy to provide options via our lending specialist Louise Syphers, in regards to the amount you may wish to lend to your children, and whether this should be taken from a Line of Credit facility.

A summary of the projections under Scenario A are detailed in the following table:

Hold Period	Total Gross Gain on Properties	Tax Payable (combined)	Net profit on Sale (after tax)	Annual Gross Cash Flow Deficit Before Tax
10 Years	\$566,005	\$86,238	\$479,767	(\$22,000)
15 Years	\$971,035	\$177,772	\$793,263	(\$22,000)

Assumptions

The broad assumptions used under each of these scenarios are as follows:

- Property cost - \$450,000 each
- Rental income of 3% p.a.
- Loan derived from Line of Credit on principal residence (\$900,000)
- Loan interest rate 5% p.a.
- Interest only repayments on loans, which are paid back at end of holding period.
- Capital value of properties increases by 5% p.a.
- Investment properties are sold at the end of the holding period
- Investment properties are sold after retirement when no other taxable income is being generated

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Pension Income Stream Taxable/Tax Free Proportioning

A super interest in pension phase is valued at the time the pension commences to determine the tax-free and taxable proportion. These proportions are then applied to all payments made from the income stream, whether they are lump sum withdrawals or pension payments.

Example

The super interest used to purchase a pension on 1 January 2014 consisted of the following components:

\$60,000 tax-free, and
\$40,000 taxable component.

The pension is valued and proportioned at commencement (prior to fees and charges). The pension is 60% tax-free and 40% taxable. Every income payment and commutation from this pension will be 60% tax-free and 40% taxable.

In your case David, your superannuation fund has a tax free portion of \$46,392 of the \$382,361 balance (12.13%). This percentage split will stay the same as you transition your balance to a pension fund. The percentage split between “taxable” and “tax free” components of your pension fund has an effect on the Transition to Retirement strategy, in regards to taxation treatment of your pension income stream.

Only the “taxable” proportion of the total pension income stream payments are added to your taxable income each year. Only this same amount which is “taxable” receives the 15% income stream rebate from gross tax payable. This outlined in more detail below in the calculations within this Statement of Advice.

Future Strategy - Withdrawal and Re-Contribution Strategy

This is an estate planning strategy for people in retirement or nearing retirement that effectively converts a percentage of the taxable superannuation component into a tax-free component.

In other words this strategy produces a higher tax-free amount than would otherwise be available. Note that a non-dependant beneficiary is liable for tax at 17% (including medicare levy) on any taxable superannuation amounts received.

You may withdraw and re-contribute your superannuation account balance in stages to convert it into tax-free component.

This must be done within the contribution limits detailed in the ‘Superannuation Contribution Limits’ section of this Statement of Advice.

We will look to consider this strategy prior to attaining age 65.

Benefits:

- This strategy will reduce the level of tax payable upon payment of your Death Benefit to your non-dependant beneficiaries.

The potential tax saving is 17% (including medicare levy) of the amount that has been converted from a taxable to a tax-free component. For example, based on a \$356,163 taxable component (your current taxable component) this would be a \$60,547 saving.

Investment Recommendations

After considering your investment profile, your financial objectives, the current economy and economic trends, we recommend that your funds be invested in the following manner.

Proposed Portfolio

ASSETS

Lifestyle Assets	Value
Residential Home	\$2,000,000
Motor Vehicles	\$40,000
Total Lifestyle Assets	\$2,040,000

Investment Assets	
IOOF Investment	\$111,128
BlackRock Indexed Australian Equity Fund	\$18,691
Cash Account	\$2,200
EQT SGH LaSalle Global Listed Property Securities	\$5,254
APN A-REIT Fund	\$4,445
Investors Mutual Industrial Share Fund	\$18,007
PIMCO Diversified Fixed Interest Fund	\$22,181
PIMCO Global Credit Fund	\$22,181
Platinum International Fund	\$18,169
Wood Family Trust	
➤ Shares in Public Companies	\$233,263
➤ Macquarie Portfolio	\$58,082
➤ Skye Joint Venture Unit Trust	\$145,114
Cash	\$5,000
Total Investment Assets	\$552,587

Superannuation Assets	
Colonial First State Personal Super Fund - Margaret	\$1,500
BT Wholesale Core Australian Share	\$165
Fidelity Wholesale Australian Equities	\$165
Perennial Wholesale Value Australian Share	\$165
CFS Wholesale Small Companies - Core	\$150
BT Core Wholesale Global Share Fund (AQR)	\$135
Platinum Wholesale International	\$120
MFS Wholesale Global Equity	\$120
BT Wholesale Property Investment	\$75
CFS WS Global Listed Infrastructure Securities	\$90
CFS WS Global Property Securities	\$90
FirstChoice Wholesale Fixed Interest	\$195
CFS Wholesale Cash Fund	\$30

Investment Recommendations

Colonial First State Wholesale Pension Fund - Margaret	\$862,169
BT Wholesale Core Australian Share	\$94,839
Fidelity Wholesale Australian Equities	\$94,839
Perennial Wholesale Value Australian Share	\$94,839
CFS Wholesale Small Companies - Core	\$86,217
BT Core Wholesale Global Share Fund (AQR)	\$77,595
Platinum Wholesale International	\$68,974
MFS Wholesale Global Equity	\$68,974
BT Wholesale Property Investment	\$43,108
CFS WS Global Listed Infrastructure Securities	\$51,730
CFS WS Global Property Securities	\$51,730
FirstChoice Wholesale Fixed Interest	\$112,082
CFS Wholesale Cash Fund	\$17,243
Colonial First State Personal Super Fund - David	\$1,500
BT Wholesale Core Australian Share	\$165
Fidelity Wholesale Australian Equities	\$165
Perennial Wholesale Value Australian Share	\$165
CFS Wholesale Small Companies - Core	\$150
BT Core Wholesale Global Share Fund (AQR)	\$135
Platinum Wholesale International	\$120
MFS Wholesale Global Equity	\$120
BT Wholesale Property Investment	\$75
CFS WS Global Listed Infrastructure Securities	\$90
CFS WS Global Property Securities	\$90
FirstChoice Wholesale Fixed Interest	\$195
CFS Wholesale Cash Fund	\$30
Colonial First State Wholesale Pension Fund - David	\$380,861
BT Wholesale Core Australian Share	\$41,895
Fidelity Wholesale Australian Equities	\$41,895
Perennial Wholesale Value Australian Share	\$41,895
CFS Wholesale Small Companies - Core	\$38,086
BT Core Wholesale Global Share Fund (AQR)	\$34,277
Platinum Wholesale International	\$30,469
MFS Wholesale Global Equity	\$30,469
BT Wholesale Property Investment	\$19,043
CFS WS Global Listed Infrastructure Securities	\$22,852
CFS WS Global Property Securities	\$22,852
FirstChoice Wholesale Fixed Interest	\$49,512
CFS Wholesale Cash Fund	\$7,617
Total Superannuation Assets	\$1,246,030
Total ASSETS	\$3,838,617

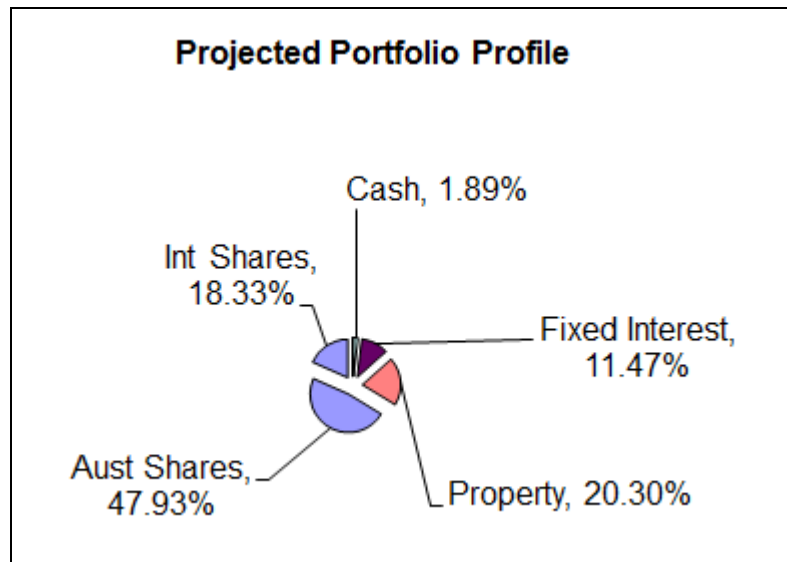
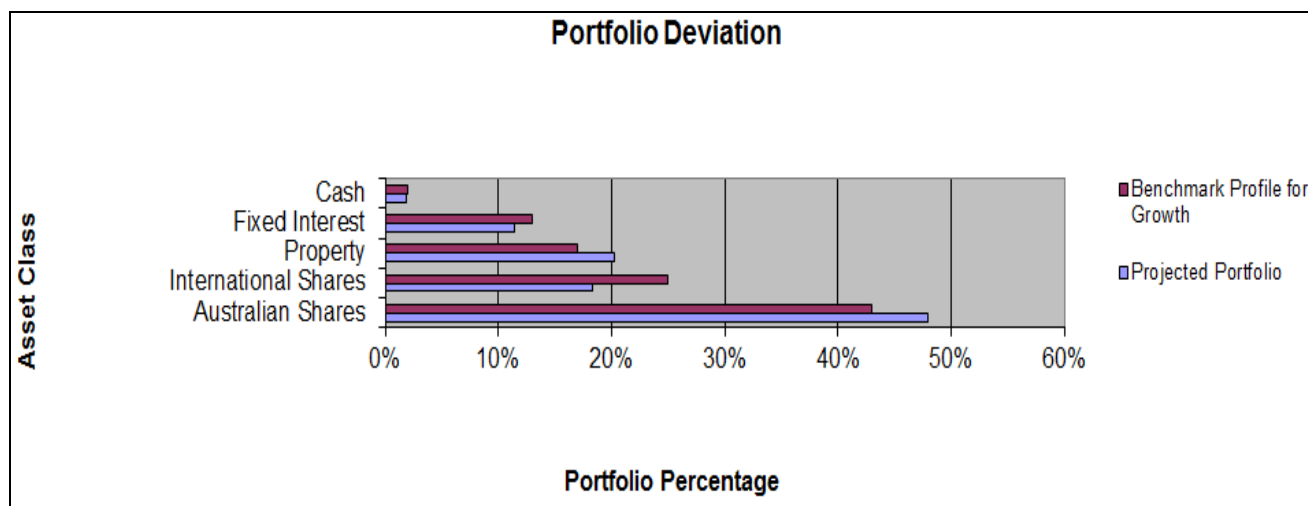
LIABILITIES

Line of credit (Used for IOOF Investment)	\$97,865
Bank Loan to trust (ANZ Equity Manager)	\$71,592
Total Liabilities	\$169,457

NET WORTH	\$3,669,160
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Projected Total Investment Portfolio Profile Compared to Benchmark

Asset Class	Projected Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	47.93%	43.00%	4.93%
International Shares	18.33%	25.00%	-6.67%
Property	20.30%	17.00%	3.30%
Fixed Interest	11.47%	13.00%	-1.53%
Cash	1.89%	2.00%	-0.11%



As an industry standard, a variance of 10% within a particular asset class is allowed to cater for individual circumstances, economic events and fund manager asset allocation decisions. Variations outside of this range may be appropriate in certain circumstances.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **Our normal 0.75% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on you're the proposed pension fund balances, we have provided an estimation of the costs you will pay.

Colonial First State FirstChoice Wholesale Pension - David	MER %	Amount invested \$	Estimated fee \$
BT Wholesale Core Australian Share	1.04%	\$41,895	\$436
Fidelity Wholesale Australian Equities	1.10%	\$41,895	\$461
Perennial Wholesale Value Australian Share	1.04%	\$41,895	\$436
CFS Wholesale Small Companies - Core	1.14%	\$38,086	\$434
BT Core Wholesale Global Share Fund (AQR)	1.36%	\$34,277	\$466
Platinum Wholesale International	1.87%	\$30,469	\$570
MFS Wholesale Global Equity	1.30%	\$30,469	\$396
BT Wholesale Property Investment	1.10%	\$19,043	\$209
CFS WS Global Listed Infrastructure Securities	1.27%	\$22,852	\$290
CFS WS Global Property Securities	1.05%	\$22,852	\$240
FirstChoice Wholesale Fixed Interest	0.80%	\$49,512	\$396
CFS Wholesale Cash Fund	0.43%	\$7,617	\$33
Total ongoing fees	1.15%	\$380,861	\$4,367

Colonial First State FirstChoice Wholesale Pension	MER %	Amount invested \$	Estimated fee \$
BT Wholesale Core Australian Share	1.04%	\$94,839	\$986
Fidelity Wholesale Australian Equities	1.10%	\$94,839	\$1,043
Perennial Wholesale Value Australian Share	1.04%	\$94,839	\$986
CFS Wholesale Small Companies - Core	1.14%	\$86,217	\$983
BT Core Wholesale Global Share Fund (AQR)	1.36%	\$77,595	\$1,055
Platinum Wholesale International	1.87%	\$68,974	\$1,290
MFS Wholesale Global Equity	1.30%	\$68,974	\$897
BT Wholesale Property Investment	1.10%	\$43,108	\$474
CFS WS Global Listed Infrastructure Securities	1.27%	\$51,730	\$657
CFS WS Global Property Securities	1.05%	\$51,730	\$543
FirstChoice Wholesale Fixed Interest	0.80%	\$112,082	\$897
CFS Wholesale Cash Fund	0.43%	\$17,243	\$74
Total ongoing fees	1.15%	\$862,169	\$9,886

Please note that there is an additional adviser service fee of 0.75% that is paid by you.

Additional details of the above fees are outlined in Colonial's Product Disclosure Statement.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$1,500 (plus GST), which will be deducted from your superannuation fund.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Pension - David	\$380,861	Flat Fee	\$0	Flat Fee	\$0	0.75	\$2,856pa
Colonial FirstChoice Wholesale Pension - Margaret	\$862,169	Flat Fee	\$1,650	Flat Fee	\$1,500	0.75	\$6,466 pa
Total	\$1,243,030		\$1,650		\$1,500		\$9,322 pa

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

I am not a registered tax (financial) adviser under the Tax Agents Services Act. You should seek advice from a registered tax (financial) adviser or a registered tax agent before relying on my advice.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Plan Implementation

David and Margaret, you have taken another next step to reach your personal and financial goals and objectives. The most important stage of the process is to put the plan into action. There are a number of steps required for the implementation of this plan:

Action	Anticipated Start Date	Estimated Completion Date	Responsibility
Detailed review of the recommendations	09/06/2015	16/06/2015	David & Margaret
Authority to Proceed returned with any amendments		16/06/2015	David & Margaret
Applications returned		16/06/2015	David & Margaret
Pension Application Process	16/06/2015	16/07/2015	Aidan Sherwell Paraplanner
Confirmation of all in place		24/07/2015	Andrew Lord
Book Post-Implementation / Review Appointment		30/10/2015	David & Margaret, Andrew Lord

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Complete the application forms in the Product Disclosure Statements
- Sign and date the Authority to Proceed
- Return the forms to us
- Retain a copy for your records

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2% is included on marginal tax rates;
- Throughout this plan, an inflation rate of 3% per annum has been used.
- Superannuation contributions tax of 15% is taken into consideration where relevant;
- There is no tax on the earnings within pension products.
- No consideration has been made for Eligible Termination Payments, foreign sourced income or capital gains or losses, unless stated otherwise;
- Cash flow projections are based on estimated income of your investment portfolio and any other income such as salary. Estimated expenses and tax are also included;
- We have assumed David's income as being \$150,000 when he returns to full time employment. This was the stipulated figure discussed during our meetings.

Authority to Proceed

We, David & Margaret Wood, of
21 Coolgardie Avenue
MALVERN EAST VIC 3145

State that:

We have read and understood the Financial Plan presented to us by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Pension - David	\$380,861
Colonial FirstChoice Wholesale Pension - Margaret	\$862,169

All fees and charges have been explained to me.

We authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

☐ Facsimile

☐ Email

☐ Writing

We acknowledge that:

- We have received and read a Financial Services Guide.
- We have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
- Our adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.

- ☐ We accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed:

David Wood

Date

Signed:

Margaret Wood

Date

Signed:

Andrew Lord

Date

B Bus (Acc), Dip FS (Fin Plan)

Appendix A – Superannuation Projections

Appendix B – Property Scenario Calculations
